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Woolworths Online Grocery Performance Analysis

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Executive Summary

This report uses 10 marketing metrics, covering market position, eCommerce growth, fulfilment, inventory efficiency, pricing, promotion, and profitability sustainability, to analyse and evaluate Woolworths' eCommerce grocery performance and strategic sustainability.

As the analysis indicates, Woolworths is still the leader in the Australian online grocery market, holding approximately 50.6% market share in 2025. Its eCommerce penetration increased from 4.8% in FY2020 to 14.2% in FY2025, while eCommerce revenue achieved a five-year CAGR of 29.4%, significantly exceeding the industry average. These results show that eCommerce has evolved from a supporting retail channel into a major driver of Woolworths' long-term growth.

However, Woolworths is facing a critical strategic transition where future success will depend less on sales expansion and more on margin quality and operational efficiency. The company's relative market share against Coles declined from 1.59 in 2021 to 1.30 in 2025, indicating that the competitive pressure in the online grocery market is increasing. At the same time, relatively low inventory efficiency, a 5.13% online price premium, a high 45% promotion rate, and WooliesX's relatively low 2.8% DAP margin suggest that rising fulfilment costs and discount-driven growth are constraining the sustainability of profitability.

Therefore, it suggests that Woolworths should prioritise increasing fulfilment efficiency, optimising inventory utilisation across fulfilment channels, and shifting from broad discounting toward more targeted and data-driven promotional strategies. These initiatives would help strengthen customer value perception while improving long-term online profitability and maintaining sustainable leadership.



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1. Introduction

In Australia, with the increasing cost-of-living pressure and customer preference for greater convenience, online grocery retailing has become an important way for supermarkets to engage with consumers (Australian Competition and Consumer Commission, 2025; Woolworths Group, 2025). As an established supermarket retailer in Australia, Woolworths is leading the way in online grocery retailing and has invested heavily in this industry.

This report will analyse Woolworths' online grocery performance and situation in Australia, which the company refers to as eCommerce. Then, based on the evaluation of a series of marketing metrics, this report will also provide potential strategic recommendations. The key discussion is whether Woolworths can transfer its Australian eCommerce business from a fast-growing opportunity into a sustainable and profitable growth engine. The performance analysis includes five sections: market position, eCommerce growth, fulfilment reliability and inventory efficiency, pricing and promotion, and profitability sustainability. The analysis is mainly based on the IBISWorld online grocery industry report, the ACCC Supermarkets Inquiry Final Report, Woolworths' and Coles' annual reports, and self-collected online basket data. Overall, the analysis suggests that Woolworths could not only pursue online sales growth, but also develop a more reliable and sustainable online growth model.

2. Performance Analysis

2.1 Market Position and Competitive Strength

The first dimension used to evaluate Woolworths' eCommerce performance is its market position, which can provide a foundation for the subsequent analysis. Market share is used to assess Woolworths' competitiveness in the Australian online grocery market, while relative market share can reflect its relative strength compared with its largest competitor. All calculations in this section are based on the data from IBISWorld's Online Grocery Sales in Australia report (Martin, 2025).¹

2.1.1 Metric 1: Market Share

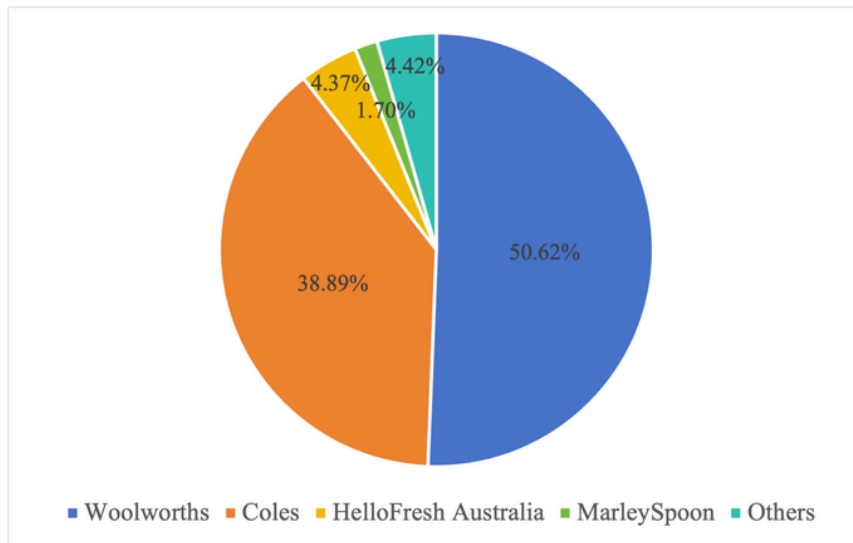
$$\begin{aligned}\text{Market share (\%)} &= \frac{\text{Woolworths' eCommerce sales (\$)(2025)}}{\text{Total online grocery sales in Australia (\$)(2025)}} \times 100\% \\ &= \frac{\$5,534.2M}{\$10,933.2M} \times 100\% \\ &= 50.62\%\end{aligned}$$

Martin (2025) identifies four main players in the Australian online grocery industry: Woolworths, Coles, HelloFresh Australia, and MarleySpoon. A pie chart (Figure 1) is used to present the market share distribution.

¹ Data note: IBISWorld lists Woolworths' online grocery sales in 2025 as \$5,534.2M, while Woolworths' F25 report states that its Australian Food eCommerce sales are \$7,309M. The difference is because they apply different scope definitions. To keep the numerator and denominator on a consistent revenue base, all Section 1 metrics use IBISWorld data.

Figure 1 demonstrates that the Australian online grocery market is highly concentrated, as the top two companies, Woolworths and Coles, account for over 90% of the total market share. This concentration may be attributed to their strong store networks and their large customer bases, as they have developed over a long time across Australia.

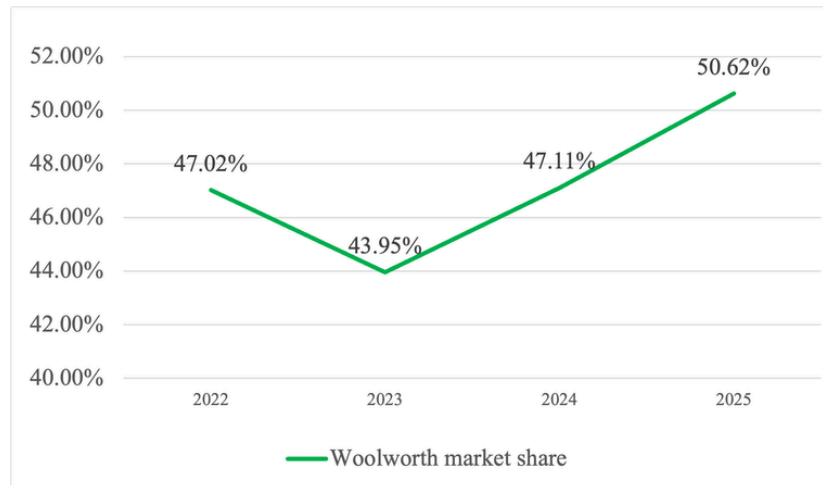
Figure 1. Market share distribution in the Australian online grocery industry, 2025.



Source: All the calculations are based on the data from IBISWorld's Online Grocery Sales in Australia report (Martin, 2025). The detailed calculation table is provided in Appendix A.

Woolworths holds the largest market share, accounting for more than half of the Australian online grocery market. This shows that Woolworths is the current online grocery market leader. Its market share trend is also remarkable. As shown in Figure 2, although Woolworths' market share slightly declined in 2023, it has generally shown an upward trend. This trend indicates that Woolworths is not only leading but also continuing to widen its market share lead. This strength could be seen as a positive outcome of its continued investment in fulfilment capabilities. For instance, Woolworths states that its Moorebank NDC (National Distribution Centre) and its new automated CFC (Automated Customer Fulfilment Centre) with the capacity to service over 60,000 orders per week can improve customers' online shopping experience and free up additional capacity to meet growing demand (Woolworths Group, 2025).

Figure 2. Woolworths' online grocery market share trend, 2022–2025.



Source: All the calculations are based on the data from IBISWorld's Online Grocery Sales in Australia report (Martin, 2025). The detailed calculation table is provided in Appendix A.

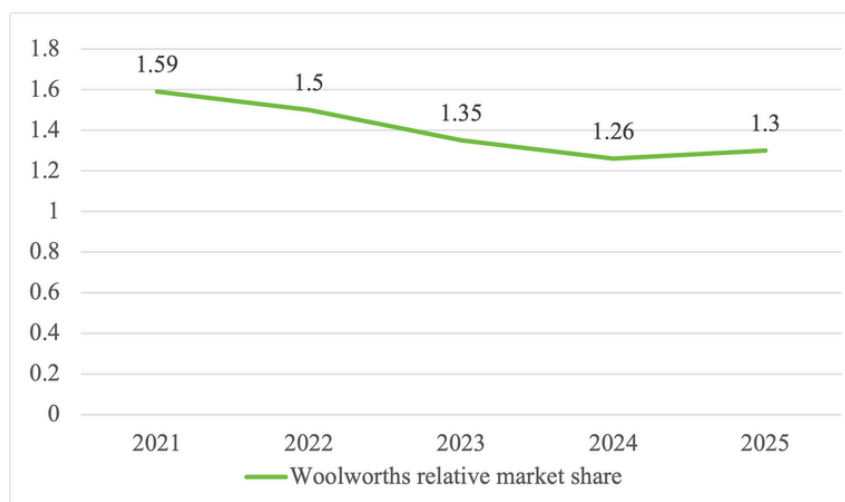
2.1.2 Metric 2: Relative Market Share

$$\begin{aligned}
 \text{Relative Market share} &= \frac{\text{Woolworths' eCommerce sales } (\$)(2025)}{\text{Largest competitor's (Coles) sales } (\$)(2025)} \\
 &= \frac{\$5,534.2M}{\$4,252.0M} \\
 &= 1.30
 \end{aligned}$$

Figure 1 shows that Coles is Woolworths' largest competitor. The calculation shows the relative market share is 1.3, greater than 1, which confirms Woolworths' leading position against Coles and also means its online grocery revenue is approximately 30% higher than Coles. This indicates that Woolworths' dominance is not fully secure. Instead, the Australian online grocery market shows a duopolistic competition structure between Woolworths and Coles.

However, Woolworths should be cautious about the sustainability of this leading position. As shown in Figure 3, Woolworths' relative market share experiences a gradual decrease from 2021 to 2024 and then a slight increase in 2025. Notably, Woolworths' absolute market share has risen, while its relative share against Coles has not, suggesting its gains may mainly come from other smaller players rather than from Coles. Martin (2025) also states that Coles' online grocery sales increased by 25.7% over the twelve months to March 2025. This suggests Coles is trying to gradually narrow the gap.

Figure 3. Woolworths' relative market share, 2021–2025.



Source: The calculations are based on the data from IBISWorld's Online Grocery Sales in Australia report (Martin, 2025). A detailed calculation table is provided in Appendix A.

Overall, Woolworths' market position can be summarised as leading but unstable. Therefore, Woolworths could continue investing in its fulfilment capability to sustainably offer more convenient and reliable online grocery services to customers. This may help Woolworths build a more durable competitive advantage before Coles further narrows the gap.

2.2 Growth Momentum and Strategic Importance

Based on the position of Section 2.1, this section uses data from Woolworths' annual report to evaluate the e-commerce performance of the Woolworths Group from FY2020 to FY2025 by calculating two metrics: eCommerce Penetration and Year-on-Year (YoY) Revenue Growth paired with the five-year Compound Annual Growth Rate (CAGR).

These metrics collectively assess whether Woolworths' online channels remain its primary growth engine, and whether the growth is due to persistent structural momentum or the post-pandemic normalisation effect.

2.2.1 Metric 1: eCommerce Penetration

eCommerce Penetration rate reflects the structural changes in consumer purchasing behavior by measuring the share of total Australian food sales generated through digital channels. This metric evaluates whether continuous investment in the WooliesX and everyday reward truly led to an increase in channel share, enabling it to conduct meaningful comparative analysis with competitors such as Coles Group.²

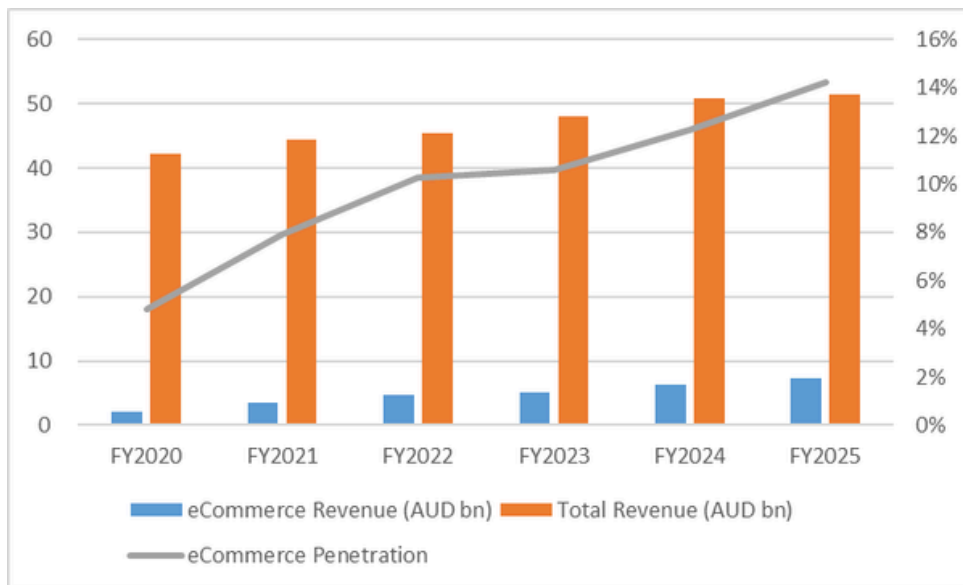
$$eCommerce\ Penetration = \frac{eCommerce\ Revenue}{Total\ Australian\ Food\ Revenue} \times 100\%$$

Figure 4 shows that the penetration rate in FY2022 rose sharply to 10.3%, as the COVID-19 pandemic has prompted Australians to turn to buy food online (Jeswanth, 2021). In FY2023, this proportion continued to rise slightly to 10.6%.

² Data note: The eCommerce Revenue data of Woolworths is based on the report content of the "WooliesX eComX division", which represents the e-commerce groceries sales volume of Woolworths in Australia.

This shows that after the epidemic impact, online food channels still attract consumers. In the following years, this proportion continued to increase, reaching 14.2% in FY2025. This indicates that transformation of digital channels is mainly driven by platform capabilities and consumer habits, rather than externally forced.

Figure 4: Woolworths eCommerce Penetration (2020-2025)



Source: All the relevant calculations were derived based on the annual report of the Woolworths Group (2020-2025). The detailed calculation table is provided in Appendix B.

Woolworths' 14.2% penetration exceeds Coles' by approximately 3%, which confirms a competitive advantage in the domestic digital sector (Coles Group, 2025).³ However, whether this penetration growth leads to profit growth or relies on promotional activities still requires further exploration in conjunction with Section 2.4.

³ Data note: For the purpose of comparison, this report uses Woolworths' Australian Food eCommerce sales and Coles' Supermarkets eCommerce sales, as these two indicators mainly reflect online grocery activities. Although both of these metrics include some liquor sales related to supermarket transactions, they do not represent independent liquor businesses. Therefore, these metrics provide a basis for the closest comparable comparison of the grocery eCommerce performances of Woolworths and Coles. (Coles's eCommerce Penetration = $4.5/39.987 \times 100\% = 11.2\%$)

2.2.2 Metric 2: YoY eCommerce Revenue Growth (FY2021-FY2025) & 5-Year CAGR

The year-on-year (YoY) growth rate reveals the changes between different years and the stability of growth, while the compound annual growth rate (CAGR) presents a long-term development trend. For Woolworths, the combined analysis of the two metrics is crucial to distinguish the sources of growth. It can more reliably assess whether the expansion of digital channels reflects the real strategic momentum (Chaffey, 2022).

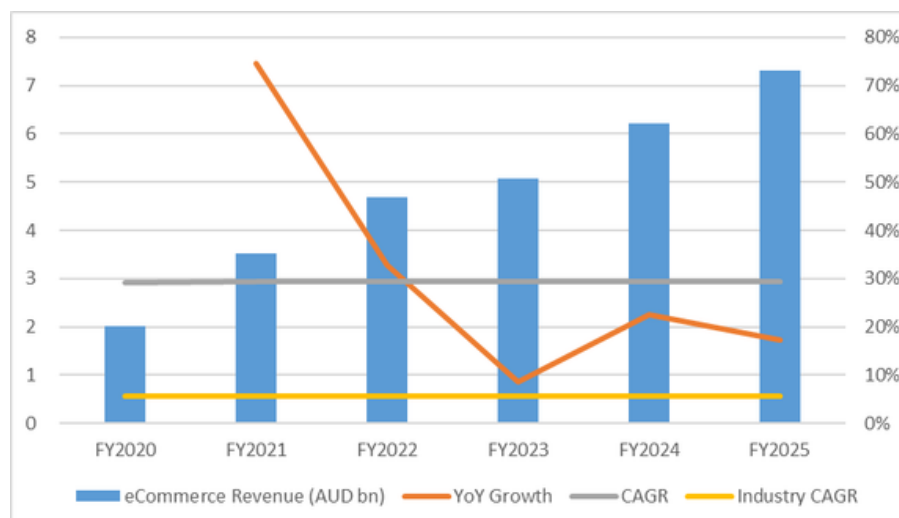
YoY eCommerce Revenue Growth =

$$\frac{\text{Current Year eCommerce Revenue} - \text{Previous Year eCommerce Revenue}}{\text{Previous Year eCommerce Revenue}} \times 100\%$$

$$\text{CAGR} = \left(\frac{\text{Ending Value}}{\text{Beginning Value}} \right)^{\frac{1}{n}} - 1$$

As shown in Figure 5, the five-year CAGR is 29.4%, indicating that online grocery retail has become an increasingly important growth driver in the company's Australian food sector. This growth significantly exceeds the 5.7% CAGR of the Australian online food market during the same period (IBISWorld, 2025), suggesting that Woolworths outperformed the overall market growth rate and may have strengthened its competitive position in the online food retail sector.

Figure 5. Woolworths eCommerce Revenue, YoY Growth and CAGR (2020-2025)



Source: All the relevant calculations were derived based on the annual report of the Woolworths Group (2020-2025). The detailed calculation table is provided in Appendix B.

However, there were some fluctuations in YoY growth during this period. During the pandemic, its YoY growth reached 74.7% in FY2021. Subsequently, as consumers' shopping behavior gradually returned to normal, it slowed down to 32.8% in FY2022 and further dropped to 8.6% in FY2023. Despite the slowdown, its growth accelerated again to 22.6% in FY2024 and remained strong in FY2025, reaching 17.4%, which was significantly higher than the industry growth rate.

This indicates that Woolworths' recent eCommerce growth is increasingly being supported by structural factors such as improved fulfilment capabilities, platform investments, and omnichannel integration, rather than temporary demand driven by the pandemic.

As Section 2.1 claims that the strongest competitor Coles is closing the gap, it remains crucial whether the growth momentum can sustain the competitive advantage. Ultimately, its value creation potential is assessed through the NPV and payback period analysis in Section 2.5. Based on this section's analysis, sustaining competitive momentum requires Woolworths to focus on converting penetration growth into margin improvement.

2.3 Fulfilment Reliability and Operational Efficiency

While Section 2.2 confirmed strong revenue growth, this section examines whether that growth translates into operational reliability and fulfilment quality through two metrics: Out-of-stocks and inventory turnover.

2.3.1 Metric 1: Out-of-stocks

Out-of-stocks (OOS) refers to the proportion of stores selling a particular product that are out of stock, reflecting the final delivery outcome of the supply chain. Woolworths and Coles both employ an online retail model. Based on the supply chain disruption model from Mogale et al. (2023), a conceptual proxy model of the eCommerce out-of-stock rate (E-OOS) for 2021-2025 was developed by considering an industry benchmark and four factors: online demand shock (D), supply chain disruption (S), fulfilment capability (FC), and automation level (A).⁴

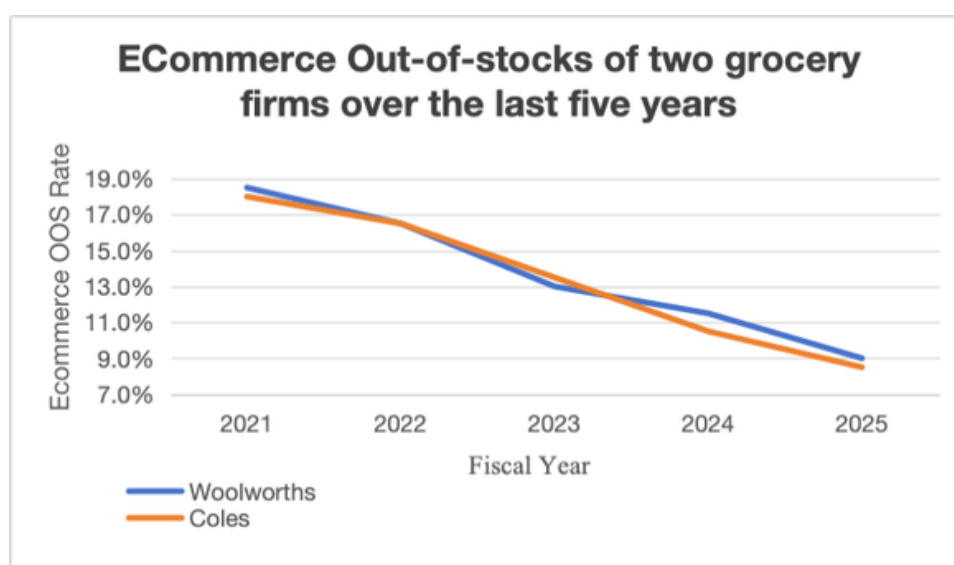
$$\text{ECommerce out-of-stocks} = \frac{\text{Outlets where eCommerce products is listed but unavailable}}{\text{Outlets where eCommerce product is listed}} \times 100\%$$

In 2021, the COVID-19 pandemic spurred a surge in online food demand, pushing the E-OOS to approximately 16–18% (Australian Bureau of Statistics, 2021). Based on Figure 6, the model suggests that both Woolworths' and Coles' E-OOS declined consistently between 2021 and 2025, with Coles slightly outperforming after 2023 due to the official launch of two Ocado-supported CFCs in Melbourne and Sydney (Coles Group, 2024).

⁴ Data note: The E-OOS estimates are conceptually derived rather than empirically measured, as Woolworths and Coles do not publicly disclose channel-specific out-of-stock data. The adjustment factors in Table 2 are estimated by Mogale et al. (2023) and are not precisely calculated using actual data from the Australian grocery industry. Therefore, the main value lies in analyzing trends rather than accurate numerical values.

However, this gap narrowed following Woolworths' first CFC in 2025. On May 25, a random check of online inventory for 30 core SKUs across two regions. It showed that only salmon fillets were out of stock, corresponding to an E-OOS of approximately 3.3% (Woolworths Supermarkets, 2026). Although this is single-day data, it is lower than the model's 2025 estimate of 9%, potentially suggesting Woolworths' fulfilment efficiency in CFCs has improved continuously.

Figure 6. Conceptual interpretation of eCommerce OOS of Woolworths and Coles from 2021 to 2025



Source: Author's estimation based on Woolworths Group Annual Reports, Coles Group Annual Reports, ABS data (2021), and Mogale et al. (2023). The detailed calculation table is provided in Appendix C.

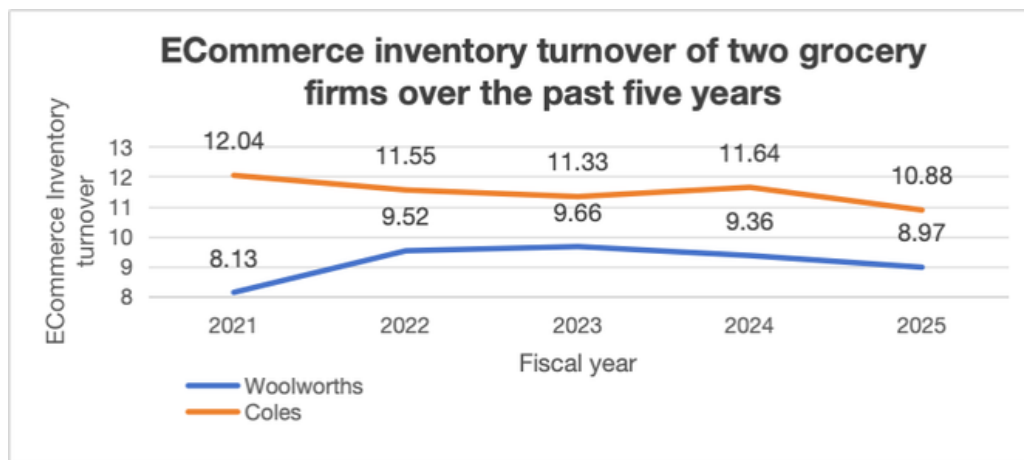
2.3.2 Metric 2: Inventory turnover

Since E-OOS reflects online fulfilment performance rather than inventory utilisation, it should be combined with eCommerce inventory turnover to assess operational efficiency. Besides, as eCommerce COGS and inventory data are unavailable, eCommerce penetration is introduced as a conversion factor to estimate both variables from total business data.

$$ECommerce\ inventory\ turnover = \frac{eCommerce\ COGS}{Average\ eCommerce\ inventory}$$

Figure 7 reveals that over the past five years, Woolworths' eCommerce inventory turnover was 8.13, 9.52, 9.66, 9.36, and 8.97, consistently lower than Coles', indicating a larger inventory backlog.⁵ Simultaneously, combined with Coles's high-demand supply strategies, Woolworths may have a mismatch between high-end non-essential items such as home appliances and low-cost shopping demand (Stassen & Waller, 2002). Furthermore, delayed CFC coverage until 2025 also weakened fulfilment efficiency, which resulted in both stockouts of essential goods and excess inventory of non-essential items.

Figure 7. ECommerce inventory turnover of Woolworths and Coles from 2021 to 2025



Source: Adapted from Woolworths Group and Coles Group Annual Reports (2021-2025).

Although the operational efficiency estimates rely on several assumptions, the results still suggest that Woolworths' eCommerce operations remain relatively inefficient. To improve efficiency, Woolworths should focus more on essential items with high stockout risks rather than non-essential items. Meanwhile, it should expand CFC coverage to strengthen fulfilment efficiency and inventory management capabilities.

⁵ Data note: The eCommerce inventory turnover rate from 2021 to 2025 is calculated based on multiplying total cost and total inventory by eCommerce penetration rate. It implies an assumption that online and offline businesses use the same inventory management model. This means that this simplified approach to eCommerce inventory turnover may result in discrepancies between the actual figure and the estimation due to factors such as replenishment patterns. Therefore, the resulting turnover figures should be interpreted as directional benchmarks for comparing relative efficiency between Woolworths and Coles rather than as precise operational measurements.

2.4 Online Value Perception and Promotion Effectiveness

The competition in the online grocery retail industry is increasing (NIQ, 2024). People are paying more attention to whether prices are transparent and whether the products are worth the price. They can easily compare prices and check promotions across different platforms. Therefore, this section uses "Price Premium" and "Percentage Sales on Deal" to evaluate Woolworths' pricing and promotional strategies. Our goal is to evaluate whether Woolworths' pricing and promotional strategies can maintain customer value perception while supporting profit sustainable online growth.

These metrics should also be considered alongside the operational efficiency and profitability discussed in Sections 2.3 and 2.5, as online grocery retailing is characterised by low margins and high delivery costs.

2.4.1 Metric 1: Price Premium

The Price Premium reflects how much Woolworths' online groceries' prices are greater than Coles'. This is important as it helps understand whether Woolworths competes on price or by offering differentiated value such as convenience, fulfilment reliability and product quality.

An online basket including 20 common grocery same-branded items (listed in Appendix D) from Woolworths and Coles Online on the same day using the same Melbourne postcode was conducted to evaluate Woolworths' online grocery pricing competitiveness.⁶

⁶ Data note: This sampling only covers 20 core categories. The actual premium rate may vary depending on category composition, and is used as an exploratory benchmark only.

Table 1. Total Basket Price Comparison

Retailer	Total Online Basket Price
Woolworths Online	\$118.90
Coles Online	\$113.10

Source: Author's online basket sampling based on Woolworths Online and Coles Online (15 May 2026).

$$\text{Price Premium} = \frac{\text{Woolworth online basket price} - \text{Coles online basket price}}{\text{Coles online basket price}} \times 100\%$$

$$\text{Price Premium} = \frac{118.90 - 113.10}{113.10} \times 100\% = 5.13\%$$

According to Table 1 above, Woolworth's price premium (5.13%) remains relatively competitive, indicating that Woolworths does not only focus on offering cheap prices to attract customers, but also aims to become a supermarket that emphasises convenience and service. This aligns well with their overall strategy. They prioritise factors such as the reliability and speed of delivery, and whether it is convenient for customers. Woolworths Group's 2025 report states that they have invested significantly in upgrading their fast delivery and self-pickup services with the goal of improving their e-commerce operations (Woolworths Group, 2025).

2.4.2 Metric 2: Percentage Sales on Deal

Percentage Sales on Deal measures the degree to which online grocery products rely on promotions and discounts. This metric is important because it can reveal whether Woolworths is truly creating value for customers that encourages them to continue purchasing or if its sales are solely supported by promotional discounts. In other words, it depends on whether this supermarket attracts customers based on value or cheap products.

Due to the limited public sales data during the promotion period, it is not possible to directly obtain exact product sales. Therefore, this report uses the "Percentage of Sampled Items on Deal" as an exploratory proxy of the Percentage Sales on Deal. Use the shopping basket sample of the same 20 products on Woolworths online to record products showing promotional discounts, "Special offers" or loyalty discounts.

$$\text{Percentage of Sampled Items on Deal (\%)} = \frac{\text{Number of promoted items}}{\text{Total sample items}} \times 100\%$$

$$\text{Percentage Sales on Deal (\%)} = \frac{\text{Sales with any temporary discount (\%, \#)}}{\text{Total sales (\$, \#)}}$$

Table 2. Percentage of Sampled Items on Promotion

Total sampled items	Items on promotion	Percentage Sales on Deal
20	9	9/20×100% = 45%

As shown in Table 2, about 45% of the sampled online groceries are on sale. This shows that discounts play an important role in Woolworths' online pricing strategy under the current cost of living pressure. This is consistent with ACCC's supermarket survey report (2025), which finds that discount and loyalty programs are increasingly becoming important competitive tools in the supermarket field.

However, over-reliance on promotional activities may damage Woolworth's profitability and increase profit margin pressure, especially in online grocery retail, where its fulfillment and distribution costs are high. Frequent discounts may also strengthen consumers' dependence on promotional prices and reduce their willingness to buy at regular prices. In addition, the Australian Competition and Consumer Commission (2025) pointed out that the increasingly complex promotional structure reduces price transparency, making it more difficult for consumers to judge the actual cost-effectiveness. Therefore, Woolworth cannot simply increase promotions.

2.5 Profitability and Sustainability of Online Growth

Building on 2.4, this section assesses the financial sustainability of WooliesX's online grocery business growth. To comprehensively reflect the long-term investment value across multiple time periods, this section uses multi-period investment metrics such as net present value (NPV) and payback period to measure its value.

2.5.1 Metric 1: NPV

Given that WooliesX is a long-term investment in digitalisation and logistics, using NPV calculations helps assess whether its future cash flow returns are sufficient to offset current investments.

$$NPV = \sum \frac{C_t}{(1+r)^t} - C_0$$

However, since Woolworths' annual reports do not disclose the specific initial investment, discount rate, or future cash flows for its online grocery business, this section uses the growth in WooliesX's daily disposable income (DAP) as an indicator to examine whether the business is moving in a value-creating direction.⁷ According to Woolworths' 2025 financial year results, WooliesX's sales increased from A\$7.506 billion in 2024 to A\$8.553 billion in 2025, while WooliesX's DAP also increased from A\$345 million to A\$428 million (Woolworths Group, 2025).

$$A\$428m - A\$345m = A\$83m^8$$

This means WooliesX generated an additional A\$83 million in profit contribution in FY2025. Also, Australian Food eCommerce sales increased from A\$6.3 billion to A\$7.3 billion, with growth of 17.4%, which is much stronger than the total Australian Food sales growth of 3.1% (Woolworths Group, 2025).

⁷ Data note: DAP is used as a proxy because it reflects incremental operating contributions generated by eCommerce activities. This calculation is intended as a guiding strategic assessment rather than an exact investment valuation.

⁸ Note: This calculation represent the increase in DAP

$$3 \text{ years: } 83 \times 3 = A\$249m^9$$

Regarding the assumptions of discount rate and initial investment, Gurufocus (2026) estimates Woolworths Group WACC to be approximately 5.36%, this section assumes a discount rate of around 6%, and the initial investment would be 3 years accumulated DAP, which is A\$250m (approximately A\$249). Therefore, the final NPV would be:

$$NPV = \sum_{t=1}^5 \frac{83}{(1+6\%)^t} - 250 = A\$99.63m$$

However, the variables in the above formula are influenced by many factors, including economic indicators, consumer income, and savings trends (Deloitte Economics, 2025). Therefore, it is recommended that Woolworths increase future incremental cash flow by increasing the capacity of its online shopping basket and improving picking efficiency, rather than reducing future cash flow and net present value through large discounts.

2.5.2 Metric 2: Payback Period

Another metric is the payback period, which shows how quickly Woolworths can recoup its investment in online groceries.

$$\text{Payback Period} = \frac{\text{Initial Investment}}{\text{Annual Net Cash Flow}}$$

If annual incremental DAP remains at A\$83 million, the maximum investment Woolworths could recover within different timeframes is:

$$3 \text{ year payback: } 83 \times 3 = A\$249m$$

⁹ Note: Based on the A\$83 million incremental DAP, this calculation represent the maximum undiscounted cash flow support

The above data indicates that, assuming DAP remains at A\$83 million, Woolworths needs to keep related investments below A\$249 million to recoup costs within three years. Furthermore, Woolworths reported that its eComX business's DAP margin was 2.8% in FY2025 but improved to 3.1% in the second half due to strong sales growth and other optimisation measures (Woolworths Group, 2025), which means that DAP is typically higher than A\$83 million, thus shortening the investment payback period.

Therefore, the recommendation is that Woolworths should not rely solely on promotional activities to grow its online grocery business, but rather utilise targeted promotions to maintain customer value perception while improving delivery efficiency and average order value, thereby enhancing future cash flow and shortening the payback period.

3. Recommendation

3.1 Defend online leadership through fulfilment reliability

Woolworths should focus more on improving fulfilment reliability to strengthen its eCommerce leadership, rather than depend on sales growth alone. Specifically, the results suggest that while Woolworths has the highest market share in eCommerce, its relative market share was narrowed from 1.59 in 2021 to 1.3 in 2025. Furthermore, because Coles launched its CFC earlier than Woolworths, Coles currently has advantages in E-OOS and inventory turnover (Coles Group, 2024). Combined with Coles' inventory structure, Woolworths' inventory structure may suffer from shortages of high-demand items and overstocking of non-essential goods. Therefore, Woolworths must improve in fulfilment and inventory management to maintain its leading position in eCommerce operation.

Firstly, CFC deployment should be prioritised in Melbourne and Sydney, where Coles has already established a strong CFC network. If Woolworths fails to increase its CFC coverage, customers are more likely to transfer to Coles due to stockouts and slow delivery speeds (Amorim et al., 2025). Therefore, by prioritising CFC in Melbourne and Sydney, Woolworths can reduce stockout risks and improve fulfilment efficiency to retain key customers and increase its relative market share. Secondly, Woolworths should also regularly track the top 10 SKU categories with the highest E-OOS, such as fresh produce and cooking oil, and set safety stocks for them. Simultaneously, it should reduce the display of non-essential items on online platforms (Silver, 1999). Thirdly, Woolworths should track operational performance in Melbourne and Sydney every six months using operational performance indicators such as on-time delivery rate, which can help managers to set appropriate targets and improve eCommerce operational efficiency.

Thus, Woolworths' relative market share in eCommerce is expected to recover, and its inventory turnover and E-OOS could be improved to surpass its biggest competitor, Coles. In other words, Woolworths can transform fulfilment reliability into a measurable competitive advantage, which will reduce threats to its market leadership.

3.2 Improve the profitability and operational efficiency of online grocery growth

The analysis indicates that the online grocery retail sector has become a significant driver for Woolworths long-term growth. The eCommerce penetration has risen from 4.8% to 14.2%, and it achieved continuous online sales growth during FY2024-FY2025. These results confirm the success of Woolworths' investment in digitalization and its omnichannel strategy, which has facilitated the expansion of its online business.

However, its lower inventory turnover rate compared to Coles indicates that Woolworths' inventory and distribution efficiency is relatively weak. Additionally, Woolworths' DAP margin is 2.8%, which suggests that the profitability of its online grocery business is still limited due to high distribution, labor and transportation costs. This evidence indicates that Woolworths' current online growth model still heavily relies on sales volume, and its profitability and operational efficiency have not kept pace with the increase in revenue.

Firstly, Woolworths can enhance the picking efficiency by strengthening automation in its distribution centres, thereby reducing labour costs and accelerating order processing speed (McKinsey, 2022). Improving automation capabilities could also help narrow the operational efficiency gap with key competitors such as Coles.

Secondly, click-and-collect services should be further expanded. This fulfilment model generally involves lower last-mile delivery and transportation costs than home delivery, which could improve fulfilment efficiency and support stronger online margin sustainability over time (Barbee et al., 2021). This could help lift WooliesX's DAP margin from 2.8% towards 3% within 12 months.¹⁰

Thirdly, the order integration and inventory alignment among stores and distribution centres should be optimised to increase the efficiency of each order and reduce repetitive work in the picking process. Better coordination between physical stores and online fulfilment operations could also enhance inventory availability and reduce operational complexity.

Overall, Woolworths should shift its focus from pursuing revenue growth to strengthening unit profits, in order to ensure that the expansion of its online business can bring sustainable and truly profitable growth.

3.3 Improve online value perception with clearer and more targeted promotions

As mentioned in section 2.4, customers can easily switch between apps on their phones to compare prices of different products, thus significantly influencing their purchasing decisions. Unfortunately, Woolworths' average shopping cart price is about 5.13% higher than Coles', which means that to prevent customer churn, Woolworths needs to establish a unique value proposition in emphasising convenience, delivery reliability, and product variety and quality.

¹⁰ The 3% target is grounded in Woolworths' own disclosed performance: WooliesX already achieved a DAP margin of 3.1% in H2 FY2025, demonstrating near-term attainability. An increase of C&C penetration provides a direct mechanism to maintain the H2 margin improvement on a full-year basis.

However, in reality, Woolworths relies heavily on deep discounts (approximately 45% of the products are discounted) to enhance perceived value for customers and attract them to shop online, but meanwhile, frequent and extensive discounts may exacerbate profit pressures, especially considering the additional order fulfilment, picking, and delivery costs inherent in online grocery sales.

Therefore, Woolworths should redesign its pricing strategy and offer more targeted digital offers. Specifically, Woolworths should adopt a data-driven approach, focusing on frequently purchased essential categories that significantly impact consumer price perception, such as milk, bread, eggs, rice, pasta, and fresh food, and reducing discounts on other non-essential products by 45% to the Australian retail market average of 35%-40% (ACCC, 2024). Also, within the app, these discounted items should be labeled with tags such as Weekly Essentials or Daily Specials to streamline the promotional process and increase transparency.

Furthermore, Woolworths' data team can offer personalized offers or similar rewards based on customers' past purchasing behavior, eliminating the need to discount all items. Lastly, to make the above recommendations measurable, Woolworths management can introduce KPIs and set short-term targets, such as increasing average order value by 5%, promotional conversion rates by 10%, and the percentage of promotional items in the total basket price. By tracking these metrics, Woolworths can ensure that it enhances perceived customer value without compromising long-term profitability and cash flow sustainability.

4. Risks

While the above recommendations can improve Woolworths' profitability and competitive position, we acknowledge that implementing them requires significant capital investment, time costs and validation. For example, Customer Fulfilment Centres require capital injection and do not directly generate profits, which also means an uncertain return cycle and difficulty in measuring benefits. Furthermore, Recommendation 3 mentions that data-driven and personalised pricing can lead to potential customer privacy and regulatory issues. And for operational measures such as customised discounts and reduced promotions, although these can control costs, they may also decrease customer willingness to buy and induce price bias, leading to a short-term drop in demand. Therefore, before implementing these recommendations, Woolworths needs to strike a balance between cost, profit efficiency, and customer perceived value to maximize profits.

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Appendix A

Data and Calculations for Market Position Metrics

Table A1. 2025 Online Grocery Market Share by Company

Company	Revenue (\$M) (2025)	Market share
Woolworths	5,534.2	50.62%
Coles	4,252.0	38.89%
HelloFresh Australia	478.2	4.37%
MarleySpoon	185.6	1.70%
Others	483.2	4.42%
Total	10,933.2	100.00%

Source: IBISWorld's Online Grocery Sales in Australia report (Martin, 2025).

Table A2. Woolworths' Online Grocery Market Share Trend, 2022-2025

Year	Woolworths online grocery revenue (\$M)	Market revenue (\$M)	Woolworths market share
2022	4212.2	8958.52	47.02%
2023	3851.6	8762.84	43.95%
2024	4651.1	9872.1	47.11%
2025	5534.2	10,933.2	50.62%

Source: IBISWorld's Online Grocery Sales in Australia report (Martin, 2025).

Table A3. Woolworths' Relative Market Share, 2021–2025

Year	Woolworths' online grocery revenue (\$M)	Coles' online grocery revenue (\$M)	Woolworths relative market share
2021	3179.7	1998	1.59
2022	4212.2	2816	1.50
2023	3851.6	2847	1.35
2024	4651.1	3700	1.26
2025	5534.2	4,252	1.30

Source: IBISWorld's Online Grocery Sales in Australia report (Martin, 2025).

Appendix B

Data and Calculations for eCommerce Growth Metrics

Table B1. Woolworths eCommerce Penetration (2020-2025)

Financial Year	eCommerce Revenue (\$M)	Total Australian Food Revenue (\$M)	eCommerce Penetration
FY2020	2,017	42,151	$(2,017/42,151)*100\%=4.8\%$
FY2021	3,523	44,441	$(3,523/44,441)*100\%=7.9\%$
FY2022	4,677	45,461	$(4,677/45,461)*100\%=10.3\%$
FY2023	5,079	48,047	$(5,079/48,047)*100\%=10.6\%$
FY2024	6,226	50,741	$(6,226/50,741)*100\%=12.3\%$
FY2025	7,309	51,452	$(7,309/51,452)*100\%=14.2\%$

Source: All the calculations based on Woolworths Group Annual Reports (2020-2025).

Table B2. Woolworths eCommerce Revenue, YoY Growth and CAGR (2020-2025)

Financial Year	eCommerce Revenue (\$M)	YoY Growth
FY2020	2,017	—
FY2021	3,523	$(3,523-2,017)/2,017*100\%=74.7\%$
FY2022	4,677	$(4,677-3,523)/3,523*100\%=32.8\%$
FY2023	5,079	$(5,079-4,677)/4,677*100\%=8.6\%$
FY2024	6,226	$(6,226-5,079)/5,079*100\%=22.6\%$
FY2025	7,309	$(7,309-6,226)/6,226*100\%=17.4\%$
CAGR	$(7,309/2,017)^{(1/5)}-1=29.4\%$	

Source: All the calculations based on Woolworths Group Annual Reports (2020-2025).

Appendix C

Data and Calculations for the Fulfilment Reliability and Operational Efficiency section

Table C1. Australian eCommerce industry conceptual out-of-stocks (%) from 2021 to 2025

Year	Australian eCommerce industry out-of-stocks(%)	Midpoint(%)	Key driving factors
2021	16%-18%	17%	Ongoing impacts of COVID-19
2022	13%-15%	14%	Rising inflation and interest rates, with initial supply chain recovery
2023	11%-13%	12%	Persistent high inflation, while supply chains largely recovered
2024	9%-11%	10%	Easing inflation and interest rate cuts
2025	7%-9%	8%	Prolonged cost-of-living pressures leading to more cautious consumer spending

Source: Author's estimation based on IBISWorld Online Grocery Sales in Australia and ABS data (2021)

Table C2. Adjustment coefficients of key factors affecting E-OOS¹¹

Key factors	Adjustment coefficients
Demand shock (D)	>30% +2%
	15-30% +1%
Supply chain disruption (S)	severe +2%
	moderate +1%
	mild +0.5%
Online fulfilment capability (FC)	strong -0.5%
	weak +1%
Automation (A)/CFC	no automation 0
	partial automation -0.5%
	completed automation -2%

Source: author's estimation based on the Mogale model.

¹¹ The influence levels are conceptually derived from prior literature on online demand shock, fulfilment capability, supply chain disruption and automation impacts rather than direct empirical coefficients.

Table C3. Annual E-OOS Estimation for Woolworths and Coles (2021–2025)

Year	Industry Benchmark	Woolworths Adjustments	Woolworths E-OOS	Coles Adjustments	Coles E-OOS
2021	17%	D(+2%), S(0), FC(0), A(-0.5%)	18.50%	D(+2%), S(0), FC(0), A(-1%)	18%
2022	14%	D(+1%), S(+1%), FC(+0.5%), A(0)	16.50%	D(+1%), S(+1%), FC(+0.5%), A(0)	6.50%
2023	12%	D(0), S(0), FC(+1%), A(0)	13%	D(0), S(+0.5%), FC(+1%), A(0)	13.50%
2024	10%	D(+1%), S(0), FC(+0.5%), A(0)	11.50%	D(+1%), S(0), FC(0), A(-0.5%)	10.50%
2025	8%	D(0), S(0), FC(+1%), A(0)	9%	D(0), S(0), FC(+0.5%), A(0)	8.50%

Source: Author's estimation from Table C1 and Table C2

Table C4. Woolworths Online SKU Availability Audit across two postcode regions (25 May 2026)

No.	Category	SKU	Woolworths	
1	Dairy	Full cream milk 2L	3000 (city)	3977 (suburb)
2	Dairy	Cheese slices	√	√
3	Dairy	Greek yogurt	√	√
4	Dairy	Butter 500g	√	√
5	Dairy	Eggs 12 pack	√	√
6	Produce	Banana	√	√
7	Produce	Tomato	√	√
8	Produce	Potato	√	√
9	Produce	Onion	√	√
10	Produce	Carrot	√	√
11	Meat	Chicken breast	√	√
12	Meat	Beef mince	√	√
13	Meat	Bacon	√	√
14	Meat	Salmon fillet	Out-of-stock	√

No.	Category	SKU	Woolworths	
15	Meat	Sausages	√	√
16	Pantry	Pasta	√	√
17	Pantry	Rice 1kg	√	√
18	Pantry	Instant noodles	√	√
19	Pantry	Canned tuna	√	√
20	Pantry	Breakfast cereal	√	√
21	Frozen	Frozen pizza	√	√
22	Frozen	Frozen vegetables	√	√
23	Frozen	Ice cream	√	√
24	Beverage	Coca-Cola 1.25L	√	√
25	Beverage	Orange juice	√	√
26	Beverage	Bottled water	√	√
27	Snacks	Potato chips	√	√
28	Snacks	Chocolate biscuits	√	√
29	Household	Toilet paper	√	√
30	Household	Dishwashing liquid	√	√

Source: Author's eCommerce availability audit based on Woolworths Online Supermarket (25 May 2026).

Appendix D

Data for Price Premium

Table D1. Sampled Online Grocery Basket Comparison (15 May 2026)¹²

No.	Product	Woolworths' price	Coles' price	Whether has promotion at Woolworths
1	Full Cream Milk 2L	4.10	4.00	No
2	White Bread	3.00	2.90	Yes
3	Eggs 12 pack	6.80	6.50	No
4	Rice 1kg	3.80	3.60	No
5	Pasta 500g	1.90	1.80	Yes
6	Cheddar Cheese 500g	8.50	8.00	No
7	Greek Yoghurt 1kg	6.20	5.80	Yes
8	Apples 1kg	5.50	5.20	No
9	Chicken Breast 1kg	13.00	12.50	No
10	Weet-Bix 1.2kg	7.60	7.20	Yes
11	Bananas 1kg	4.50	4.20	No
12	Frozen Peas 500g	2.80	2.60	Yes
13	Tuna 425g	4.20	4.00	Yes
14	Butter 500g	7.00	6.70	No
15	Orange Juice 2L	5.00	4.80	Yes
16	Coffee 200g	9.50	9.00	No
17	Toilet Paper 12 rolls	12.00	11.50	Yes
18	Dishwashing Liquid	3.50	3.30	No
19	Potatoes 2kg	5.20	5.00	No
20	Breakfast Bars	4.80	4.50	Yes

Source: Author's online basket sampling based on Woolworths Online and Coles Online (15 May 2026)

¹² Data note: Prices collected from Woolworths Online and Coles Online on the same sampling date.



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